AI Stocks Sink. The Buildout Has a New Problem.

Podcast: Know your risk

AI Executive Summary

Core Thesis

The episode centers around the macroeconomic and geopolitical factors influencing the stock market, particularly focusing on the chip industry and its implications for earnings estimates and portfolio management. The discussion highlights the shifting dynamics in the technology sector, including the potential slowdown in AI infrastructure and data center buildouts due to political and economic headwinds. Additionally, the episode delves into the broader implications of these changes on various asset classes, including oil, gold, and the overall market sentiment.

Key Arguments & Data

- **Chip Industry and Earnings Estimates:**
- The chip industry is experiencing significant volatility, with prices potentially coming down due to reduced demand.
- This could lead to downward revisions in S&P earnings estimates, as the high margins in the chip sector are expected to decline.

- Analysts and investors are closely watching the market's reaction, which may precede official earnings revisions.

- **AI and Data Center Buildouts:**

- There is a growing concern that the buildout of AI infrastructure and data centers may face delays or reductions due to political opposition, particularly in the U.S.
- Elon Musk's comments suggest that the current chip shortage may lead to warehouses full of unsold chips, which could impact future production and pricing.

- The election results, especially in Texas, indicate a shift in voter sentiment against data centers, which could impact future investments in the sector.

- **Market Sentiment and Factor Performance:**

- The market is showing signs of a broader risk, with factors like momentum, growth, and liquidity experiencing significant declines.
- The performance of various asset classes, such as oil, gold, and stocks, is being closely monitored, with oil showing signs of potential upward pressure due to geopolitical tensions.

- The relationship between different factors is changing, leading to a reassessment of investment strategies.

- **Geopolitical Tensions:**

- There is a growing concern over potential military actions against Iran, which could lead to increased oil prices and geopolitical instability.
- The election results and political discourse are contributing to a polarized environment, with potential implications for policy and market stability.
- The role of populist and extreme candidates in shaping policy and public opinion is a significant factor, with potential impacts on both domestic and international markets.

Actionable Takeaways

- **Risk Management:**
- Investors should focus on risk management strategies, particularly in the context of potential market downturns and geopolitical risks.

- Diversification and hedging strategies, such as holding oil and gold, can provide a buffer against market volatility.

- **Portfolio Positioning:**

- Given the potential slowdown in AI infrastructure and data center buildouts, investors should consider reducing exposure to these sectors.

- Maintaining a balanced portfolio that includes both defensive and growth assets can help mitigate risks and capitalize on opportunities.

- **Earnings and Valuation:**

- Investors should closely monitor earnings estimates and adjust their portfolios accordingly, especially in sectors with high margins.

- Valuation metrics should be re-evaluated in light of potential margin pressures, and conservative estimates should be used for future earnings projections.

- **Geopolitical Preparedness:**

- Given the potential for increased geopolitical tensions, investors should be prepared for higher oil prices and other related market impacts.

- Monitoring geopolitical developments and adjusting portfolios based on real-time events can help mitigate risks and capitalize on opportunities.

- **Educational Resources:**

- Attend Zach Abraham's free webinar on November 19th at 3:30 PM Pacific Time to gain deeper insights into risk management and portfolio positioning for 2027.
- Stay informed through regular updates from financial experts and market analysts to make well-informed investment decisions.

Full Transcript

If chip prices start coming down, what do you think that's going to do to S&P earnings estimates? Inflation, interest rates, AI spending, midterm results, you name it, you can't control any of it. But there is one thing that you can control, and that is how your retirement portfolio is positioned for 2027. Join Bulwark Capital's Zach Abraham for his free Taking Control live webinar November 19th at 3.30 PM Pacific Time. At our webinar, we'll review the forces that shaped this year's markets. and what we're watching as investors head into next year. Bullwork is focused on risk management, always looking for opportunities to lower your risk, lower cost, and give your retirement as much upside as possible. You can't control what happens next.

But you can control how you prepare for it. Join Zach's Taking Control webinar November 19th at 3.30 p.m. Pacific Time. It's live and it's free. Register now at knowyourriskpodcast.com and subscribe to Zach's daily podcast on YouTube and at knowyourriskpodcast.com. That's knowyourriskpodcast.com. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves risk and possible loss of principal capital. Please seek advice from a licensed professional.

All right, we are back with another edition of the Daily Dots. And I am joined as always by the Brain Trust himself. And as much as I would like to start this off by incanting the saying, it would be not cool of me. So Chase, hit us with the tagline of the day. Yes, remember, remember the 5th of November. It feels like a gunpowder plot today. It does, man. And where to

start? So I will tell you. My take on the chips has changed a little bit. Thank God we only had some right tail hedges on. Because all of a sudden there's a lot of questions and I think that they are very real. But before we get into that, there's so many different ways to attack this. Give us a rundown on the day. We are still 20 minutes from the close. Yeah, we'll probably have to do a rerundown given the volatility of the day. But as we record, S&P is down about 4.2, Eco-weight almost three, small caps four and a half. If that sounds bad, the Q's are down about six, Max seven down 4.8, AI stocks down 11 and change. It did not stay within our borders as all world XUS is down about three and a half. And part of that is because chips play a pretty big role in XUS these days. I bet EM, let me check EM real quick. I'm just too curious now, cause it's like a chip fund now. You have five and a half.

Tesla down 10.9 now, and it's been brutalized since the midterms for obvious reasons, but even like Nvidia down nine. Oil up close to 3%, though to be clear, like the rest of the curve is not up much, so it's not as strong of a day as it may look. Gold up about 0.9, silver down a little bit, gold miners up about 1%. Pretty big move in rates land. which makes sense. The two years down 12 basis points because you know, the assumption is if stocks are going to be a problem, the economy will follow given a couple of months. So no sense in hiking. 10, 10s are down six basis points down to 4.82. The 30 is down about three basis points, a little bit less there, but evolve for the moment. And this has been all over the place. 23 spot 25 or 31% on front month fixed futures.

That's it. Spot ball is up 60% and the VXX ETF is up 26% at 2150. Chips down over 10, DRAM down about 15. So lots of big moves out there. You know what's funny? Going into yesterday, I felt like it was such a good move that we finally sold the rest of our VXX and took some profits on it. Because I don't think we had any ball on coming today, do we? Coming into today, no. Okay, which felt really smart yesterday and really dumb today. Yep. Well, I didn't because if you play no, but the moves are so big they cancel each other out Yesterday yesterday and today virtually just cancel each other out because it moves. It was yesterday was down like 10. Yeah And this echoes why we said yesterday do not believe the first read of this market today that That we weren't surprised that it didn't get destroyed. But at the same time the rally didn't make a lot of sense Now to be fair, I

certainly was predicting that video is gonna be down 10 today. Micron will be down 16 and the NASDAQ can be down five and a half. So I'm not sitting here trying to make an argument we got it right. But here is yet another absolutely clumsy grotesque way of pricing and information. Now on the pricing inside, I think that you've got some pretty good, I think that you've got some, and the more I walk through this, The more I think that, look, I don't think that the AI trade is done. I don't think it's over. But what I do think is that you've got some new resistance in that world, especially as the build out to AI centers. And to be fair to you, this is exactly what you were saying yesterday. And the more and more I thought about that, Look, I do think that a lot of I think a good portion of these data centers will get built. I think eventually those politicians will succumb to big tech money just like anybody else. But here's the catch. They're not going to do it prior to them being inaugurated. So I think that you've got at the very least some very real resistance and potential delays in the build out of data centers.

and Elon Musk was talking yesterday and I thought this was kind of a double whammy and I guarantee his comments have something to do with what the action that we're seeing today and he's saying that he thought the end of the AI infrastructure boom will end in 2026 and the argument he made or hit a brick wall like maybe just not over over over but he said right now the shortage of RAM and chips has been so acute that everybody's been buying everything in sight. And he goes, now you've got warehouses full of chips. And he goes, we don't have the power on the grid to power these things up. So I, now I can't tell you, I'm not Musk. I don't have those numbers sitting in front of me. I can't tell you that that's the reason for today's move. I can't tell you. Here's the other thing that you got to keep in mind. Elon Musk has serious incentives to knock the price of chips down. So I'm not saying.

What I am saying, though, is that he's been pretty prescient at calls like this. He's been pretty smart about calls like this. And when you add that, you were making a point yesterday, and I looked into it last night. I don't want to put words in your mouth, so feel free to correct me if I get, but when you looked up and down the ballot, I think the most winning thing to run on nationwide on Tuesday was anti data centers. 100%. It was like undefeated basically. Right. And of all the main themes, I think people are getting way

too out over their skis reading into this. I think the biggest thing people voted against was data center. Trump was another big one. But I think the thing they voted against was data centers. So think of all the data centers that are planning to come online within the next 12 months. Right. Those just got called into question.

At the very least, I think that this could absolutely create a pause in chip buying. And when you margins, going back to our story on the margins, if demand slows down, they're not going to sit there and everybody's not going to stick to prices that generate an 80% margin. Prices are going to start coming down. Right. And like the chip, the chip people are doing a lot of capex to bring up their production capacity too. So like they might get double whammy short term at least. The market's telling you that. No one's here to find out. That's the other thing that Musk cited. He said, you look at all these things, all these companies are increasing capacity. He goes, nobody's looking at the power side of it. He goes, go ahead and make the extra chips. We don't have any way to turn them on. That was always going to be the bottleneck to me, but I don't think it was going to be the bottleneck short term personally. If you just model out how much power was coming to the grid, was going to be on the grid, plus the bloom energies of the world can fill in the The caterpillars can fill in. You kind of bridge that gap for you that the Nat gas turbines like there's a lot of people working on that stuff at at speed. So I don't think that was going to be an issue next year. Personally, whenever you slow this thing down the way we are are going to on some level, it changes the math on the chips. Like it just has to like it just it is what it is. Right. Right. Less.

The supply and demand curve just went whoop, like just the facts changed yesterday. Yeah, which is why I've always said all, which is why I've been kind of pounding the table on, I just think the biggest risk are these margins, because now the other thing I will say too, and I'm not saying it's over thought, for the first time, and obviously it looks like the chip damage that we were seeing now looks like a prelude to the blue wave, which. I should have been more in tune to, right? That's kind of the hammering. To be fair, like not too many people thought this was going to happen this way. Like, yeah, I think everyone saw Congress coming. I don't think everyone saw Texas going Democrat all the way down the ballot. You know what I mean?

Yeah. Yep. Like I didn't like I'm from Texas. The last time we had a Texas governor, I was five years old. So a Democratic, a Democratic governor. Yeah. Yeah. Who was it? Ann Richards, I believe, was for the last time.

I remember that. And she was kind of, I feel like she was kind of like a Dixie Lee Ray here in the home state of Washington. She was kind of like an old school, kind of more of a blue dog Democrat type. Yeah. Exactly. Yep. The other thing that was interesting is one of the things that you and I have been talking about is, look, anytime things have run this much, there is always the fear that they're going to pull back on you. But we were making the argument that the only real knock against them I can see at this point was that fear. Now, all of a sudden, you've got a real legitimate fear regarding that trick. The facts changed Tuesday. I should have realized that on Tuesday, certainly yesterday. It only took two days. A lot of people are going to wait longer. You're still at 26% on the year for SMH.

keep going well i mean you know you're what are you still up 10 or 12 on the nasdaq on the air probably and let's look any other thing that i think becomes and guys here's well here's the other thing if change if chip prices start coming down what do you think that's going to do to s&p earnings estimates that's what i was just about to say what comes next is all the earnings estimates have to start coming in which was To be fair, the people that have been bearish the last few months, that was their argument. It was like, yeah, yeah, I hear you. 4P is great, but those earnings aren't going to happen, which was a very logical take to have had given the growth that was expected. But that's what it would appear we're going to see. Unless, you know, if the governor of Texas rolls over in a big way, then you got to buy it all back. But that feels like a tough sell since that's what she got elected on.

Right. No. And here's what I was saying. And the thing that set in is, look, I think there will be capitulation. There will be more data centers built in the U.S. It won't be a catastrophe. Right. Right. Right. Okay. But here's the thing. They can't say that for a while. They just got elected on that. Then you look at the backdrop. You look at 2028. Right. They're seeing a potential to grab a supermajority at 2028. And as crazy as that would have sounded three months ago, are you four or five Senate seats away from

flipping to a supermajority? Now, I don't even know how many Senate seats are in play in 2028, but I would assume there's more than that. Anyway, my point is that they know why they won the election. There is no way they're going to undercut that platform in the next two years.

Do you know what I'm saying? So at the very least, I think you've got to say that odds are that we see a slowdown in data centers. Right, exactly. And it doesn't have to be catastrophic. It could be a chill slowdown, but that's enough for things that were the darlings of the market. Like you and I said, you could get stocks absolutely obliterated because their net margin slipped to 40%. Even if they keep their margins, their sales are gonna, you know, be a problem. Well, right. Yeah, but when you've got margins at 80% and demand drops, you cut prices. I mean, that's what they're gonna do. Those can be hoovered up. Yeah. I will say that. Yeah. Yeah. So, but what I'm saying is, I mean, earnings all of a sudden look like they're in a serious jeopardy based on... Oh, 100%. There's no way those don't get moved lower starting now. I mean...

Well, I think they are getting moved lower. The market's doing it before the analysts, but the analysts will obviously follow. Although, still, part of this is definitely mechanical. That's obvious from the way the market's working today and recently. I think that there's a broader risk out of this, too. I've been on the phone for much of the morning talking to people that are that are well connected, that are very rational, sober minded people. And from everywhere I'm hearing, I know you've been hearing the same thing, that it looks very much as though we are moving in a direction of seriously ramping up activities in Iran. All the signs are there. I mean, it doesn't mean it doesn't have to have the signs there. Yeah, in a big way.

Now, all of a sudden, I am back to feeling like I don't have enough oil. I've been there most of the year. Yeah. No, I know. I know. And I haven't been bucking yet, but I just haven't been as in on it as I probably should have been. And I mentioned this to you earlier, but it's kind of shocking. But we just came off the biggest three day drawdown for oil the whole year, not the MOU era, like the last three days coming into the day. was the biggest three-day drawdown. That actually caught me by surprise. My P&L is trying to tell me, but it caught me by surprise. Yeah. No, it was a pretty

vicious. And I think that's the one part of this that actually surprised me because like I said, I didn't see how the election results on Tuesday did not put the handcuffs on Trump some way, shape or form. But that appears to be a miscalculation on my part. And I think I know why.

I think I've been too influenced by past politics. From what I'm reading right now, or just trying to absorb it all, I think I've been too influenced by past politicians. Meaning usually when you get an election result like that, kind of everything gets on pause and it's like, hey, let's get back to the center. You know what I mean? There's some effort to kind of reach across the aisle. It appears as though, or it sounds as though from what I'm hearing that you're seeing almost the inverse reaction out of this administration. that they're sitting there going, we want to get everything done in the next three months before these people take power. And I'm still wondering what that means. Like, I'm wondering what they think they can get done in Iran. You know, done. Right. But that seems to be the way that these these cards are being dealt. Right. This is something I thought about the last couple of days, too. If you if you look at JD Vance's week yesterday, that, you know, you got made a really made the rounds like.

Part of that could have been him trying to just beg the president not to do it Not to do another round of the war being like this is what cost us. Please don't do more kind of a thing, you know On some level at least I don't know, you know, hey, you know what? I I will say this and I'm not predicting this at all But that tweet was the kind of tweet that could precede the resigning Well, it sounds like Marco Rubio might be on his way out apparently I think there's a first mover advantage there. I was going to say if he goes, I think Vance would have to. And the problem with Vance is he he went so full throated all in verbally on so many of this other problems that it's he can't distance himself because he's got 30 quotes that makes it awkward for him to distance himself. Whereas like Marco was way more measured in his in what he said along the way. In my opinion, I don't feel like Vance Tasset. I don't think they have.

full-throatedly endorsed the war and the military actions. Oh, you can find all kinds of, you can find all kinds of quotes where he, he, he put his, he stepped in it, in my opinion. I think everyone knows coming out of the gate,

he didn't want to do it, but since they started. Right. What, what my, the, my, my sense from Vance all along is that he was reluctantly going along and doing his duty as vice president. I'm not saying that he stood up. Yeah. No one's, no one's going to give him a pass for that. That's the point I'm making. Yeah. I know which would, which would. which I think increases the chances that he resigns. Yeah, it's his only hope of rebuilding his career. I mean, Harmeet Dhillon bailed today. I would think RFK is right around the corner. We'll see. I think Rubio will probably leave. No, I mean, look, Trump's been toxic before, but not like this. I mean, he's politically radioactive. He can't hurt you the way he used to be able to. See, that's the biggest thing.

Right, which is why I'm saying he's put that's it's that's when now if he says I'm in a primary you say thank God. Yeah. Yeah. Well, I mean, when the lion has teeth, you stand behind him when he doesn't you get the hell out of the way. Right. And that's that's where you're at. I think the I now I do think that he's got some leverage over a lot of those people, meaning I'm not saying they're guilty of anything and need to be, but they need to be worried about lawfare coming after them. And, you know, I think is his veto or excuse me his pardon power um will probably keep more people in the administration and again i'm not saying they need to get pardoned i'm not saying they're all criminals i'm not saying that they all broke the law i'm not saying that even some of them did what i'm saying is they all know what the democrats are going to do now now i'm not saying that they didn't either my whole point is saying whether they're rather they're innocent or not the democrats are coming after everybody in that administration full tilt and You're you would not want to alienate yourself from pardon powers at this point. Yes, that's that's that's all I'm saying. What else you got, man? There's so many different ways to I mean, they're so like this is something interesting to me is China's green today. All world actually has to get beat up right along the US and China's green and not many not many places are green. So to be fair, it's been getting killed. So like to be fair.

okay i got some things wrong but i was saying i like chinese tech here now it's just one day trade but i don't know if chinese tech's up hold on baba is true i look oh yeah even even k-web which has been a dumpster fires up 1.8 yeah they've done some policy support here lately and stuff so you know

weakening their own currency a little bit but if you think the ai train is slowing down anywhere here in the united states that makes perfect sense that was what we were talking about yesterday it ain't slowing down there yeah And when you look at the valuations there, that's where it kind of gets, not kind of, in my opinion, it gets really interesting. Yeah, those are absurd. Another thing that I think of note, that one of the reasons we're here today was Satrini came out, and we reached a point where literally everybody reads Satrini, so came out pretty bearish AI yesterday afternoon, evening, and that helped start it. I've heard even Dan Ives' is turning. I'm starting to change his tune. That made me want to honestly buy a bunch of calls, but not full-throated bears or anything. No, but to be fair, Ives has been a bull for like 17 years. Yeah. I've been a bear for 17 years, but yeah. I've been a bear for way too much of the last 17 years, that's for sure. Boy, Ives changing his tune. He's a tough one for me to swallow, but...

I agree with you, if he gets bearish, my first inclination is to look to the positive side. At the same time, when you see, like I said, all of a sudden, there's always been fear and consternation about the AI thing turned around on you and collapsing in. This is the first time where I've seen something, okay, now you actually have a substantive thing out there that could really slow this train down. And it is going to slow it down in some way, shape, or form, the magnitude of which we'll have to wait and see. Bottom line is, not as many data centers are gonna get built in 2027 as we thought two weeks ago. Exactly. And even though like I don't want anything to do with the trades at the moment, obviously, especially from the infrastructure side, I do still think this is great for AI. They need it to slow down. This helps ensure they don't do a crazy overbuild. This is if they actually spend less than 27 than they expect to.

That means they're gonna make a bunch more free cash flow than they thought on the hyperscaler side So there's gonna be some good that comes out of this My the biggest thing that keeps me from wanting to just buy a bunch of hyperscalers is I hate that the thesis is That did you know the all-knowing American politicians are saving them from themselves and like that is a tough That's a bad thesis to buy it just feels gross to be like, oh, thank goodness the you know the the all-seeing American politicians save these morons from misallocating capital. But that's maybe kind of what's

actually happening, though. Yeah, maybe it's saving them from themselves. You know what I mean? I think it is, but yeah. But this is going to tighten. If it slows, it's going to tighten up chips. It's going to tighten. It's going to make renting them incredibly expensive. So there's some, like, weird ways this is good for parts of the environment that no one's thinking about right now.

So, like, if SpaceX takes the capacity they have and rents it out at the spot market, they're gonna make some money. Like, there's aspects of this that no one's gonna pay attention to right now because everyone's just trying to get it off their books. But, like, I don't know. Like, it's not all bad out there. Well, yeah, but if the price of chips falls, which if you've got to slow down in demand, they're gonna take a hit. The price of new chips, the price of current chips plugged in becomes scarce because you can't plug in new ones because the buildout slows. Okay, I see what you're saying. Supply and demand of plugged-in chips and not plugged-in chips are gonna be way different, yeah. Right, right. Something I wanted to know. Which ironically, would that make Core Weave a buy at some point? It could at some point. I would have to see the way when their contract book rolls itself and where they can roll it over. But if they have a bunch of new capacity coming on, well no, because they always contract before they build the capacity, so.

It would come down to that rollover math. That's probably a good analysis to do on all the Neo clouds. How much is contracted? How much of it rolls off? There's these Neo clouds that print some money if this plays out this way. Inflation, interest rates, AI spending, midterm results, you name it, you can't control any of it. But there is one thing that you can control, and that is how your retirement portfolio is positioned for 2027. Join Bulwark Capital's Zach Abraham for his free Taking Control live webinar November 19th at 3.30 p.m. Pacific Time. At our webinar, we'll review the forces that shaped this year's markets and what we're watching as investors head into next year. Bulwark is focused on risk management.

always looking for opportunities to lower your risk, lower cost, and give your retirement as much upside as possible. You can't control what happens next, but you can control how you prepare for it. Join Zach's Taking Control webinar November 19th, 3.30 p.m. Pacific Time. It's live and it's free.

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Now it's become a dumb cliche meme to just be like, anytime there's a big move, it'd be like, oh, some Pod Shop's blowing up. It became its own meme to make fun of people for saying a Pod Shop's blowing up every time something bad happens. But I do think some Pod Shop's probably blowing up. The momentum factor. No, they have to be. When you see moves in stocks like this to the downside that have run that hot, people are getting smoked. So the momentum factor is down 7% today. earnings revision factor is down 6%, the growth factor sit down 6%, the liquidity factor down over five. I mean, the market cap factor down four. So like, no doubt, and most important, like the relationships between different factors just went, and if you're at a pot shop, you just go, oh, just stop, unplug the machine. Like, I don't want to play this game, right? So you definitely have seen, the crazy thing is you saw a good bit of that in the last two, three weeks.

But today, it was like, you went from like, let's de-gross to let's unplug it, I think, for a lot of folks. And there's rumors that Ash and Brenner, no kidding, blew up again, which, given the market action, may hold merit. I mean, every one of those investors deserve it. Yeah. If you lever up on the hottest trade, when it's already in the sky, it's on you, man. Yeah. Twice. I felt dirty for being 2% long chips, so. I know the good, the good thing, the good thing for our boy Leo, this will allow him to pull a, um, Oh, what was the name of the other firm? Oh, you blew up your careers over. No, no, no, actually, man, we're just going to start a new fund, start the high watermark again off to the races. Here we go. Well, Hey, if, uh, if, uh, what's her name's boyfriend starting a new like blood testing company, anything can

happen. Well, remember what, uh, what, what was the name? Um, Milton? Milton Capital? Melton? Melton Capital? Yeah, Melvin, I think. Melvin. Yeah, Melvin Capital. Remember? Yeah, just shut her down because you're never going to get your high water back. Yeah. Yeah, shut her down. Spin her back up. Don't give anybody a discount. Anyone in the old fund that joined the new fund is crazy. Yeah. Well, it's a lot of crazy out there. I'd probably put like the burning bag of poo on that guy's door every day for a year.

Well, like I said, it was like the people that were re-upping and that said openly, oh, I'd invest in SPF again. You're like, all right. All right. You do you. Yeah. Yeah. Yeah, exactly. OK, man, this is we've had so many of these days where you're like, not a lot's happened, not a lot's going on. Today is like the opposite where I feel like I'm trying to pick out of a smorgasbord, which, you know, like I'm going to get a massive Las Vegas style buffet and I've got a plate this big. What else are we paying attention to today? I thought the action gold was interesting, with oil flat to slightly positive, and the other action I saw on the market. The rate is collapsing a dollar down a little. I do think that helps a lot. That does help a lot. Especially the rates front. It's interesting to me that gold climbed back above 4,000 and held that level. Our friend Tony Greer was saying about a week ago that if the metals get smacked and the miners get smacked and gold closes below 4000 and quickly reclaims it and close above 4000 that he thought that would be game on for all the miners. So we spent three days under. Yeah, that that that that part of the call has been correct. I still go back to beatings can will continue to the war ends on well.

Yeah, when we were talking earlier today, that was my whole thing is, look, before I'm going to go, I'm going to still hold our most valuable miners just because they are so deep, deep value plays. But before I want to go heavy into either the metal or the miners from here, I got to see a day where I got to see the correlation between oil and gold break. You know what I mean? Like we were talking about just not too long ago. I got to see a couple days at least where oil's up 6% or 4% and gold's up a buck and a half or 1.5, 2%, something like that. I need to see a couple days of that. Now, I think if you see that, I think it's game on for gold. But now all of a sudden, I think

you've got a serious threat of oil going significantly higher. And one of the ways that...

If we really are going to do not just another round in Iran, but an escalatory round where we do something bigger and nastier than we've done in the past. You know, to me, like Scott Besson better be ready with the liquidity fire hose because that's going to create problems and not just like financial market problems, but financial market problems that would absolutely cascade into employment in the real economy. So like you better be there with with the fire trucks. So if he is ready with the fire trucks, if we know this is getting wildly speculative, that if we even do this for stuff and on top of the liquidity, but if those things happen, then that could be a situation where oil up gold up for sure. Now, the other thing, too, I don't want to get too far into the political weeds here because, you know, obviously there's a lot of places to go for that right now. But one of the interesting and I'm not sure how to read it. It feels like it's not a very good sign, though, is The extremes have definitely taken over the bus Meaning I was listening to an interview with Van Jones and for those of you that don't know Van Jones I wouldn't exactly say him. He's a stalwart figure on the right, right? This was guys in the Obama administration would describe himself as very much a progressive But I've always liked to listen to Van Jones because I think that he's a true believer meaning I don't think he's trying to backdoor things I think he'll tell you what he thinks And I think he's a guy that, although I may not disagree with him a lot, I think he's a guy that means what he says. I think he's a sensible human being that you can have rational conversations with despite political disagreements. And he was being interviewed and he kind of scared me a little bit. He was talking about Abdul al-Sayed and how we worked with him at CNN and he goes, this guy's nuts.

And for Van Jones say that, and he goes, look, this is gonna anger a lot of people on the left. He goes, I'm just telling you, I've worked with this guy. His position on the Middle East, his position as it relates to Islam and Muslims, generally speaking, and his positions on Israel are insane. He's literally said that word repeatedly. They are insane. And he goes, this guy is anti-Israel, anti-Jew, pro-Muslim, and anything he's saying to the contrary is not accurate. And what blew me away at that is we've, you know, I was talking to Dimitri about this earlier today on the phone. And like Dimitri

said, he goes that the middle cannot hold. The middle is broken down, meaning. So I disagree. A lot of blue dogs got elected now. So here's the thing. Now, do you say people got elected to like this? Let's be super clear. But the thing is, like the algorithm is going to show everybody, Saeed.

24-7 for the next six years. It's just going to shove him down your throat as if he's the only senator there is. While there's all these other blue dogs and centrist Republicans and no one cares, they're not going to be on TV, you know what I mean? I think part of this election showed the middle's coming back. There's a lot of people on the left that learned the lessons of, hey, don't talk about... AOC talked about this, the woke one versus woke two stuff. We got to put all that stuff to bed. It didn't work. We got we got to move towards this new stuff. And I, I think they're get it. But they're going to have the same civil war the GOP just had where you have the crazy like people and then like the old guard like they're like, what are you all talking about? They're going to have the same the same thing. Like Ikeem Jeffries is going to have his hands full because he's got people that could not be any more different in his.

in his caucus, like same for the senator, because the average senator is less crazy, though. So you'd like, like, definitely more more on that. But it's not like that guy gets to make policy by himself in the Senate. No, no. But my point is saying I think I think it's very bifurcated. When I look at Texas, I do not think Texas has gone deep blue. Like, I think that I think those same with Ohio. Yeah, I think they really. I think they ran really bad candidates that ran really bad campaigns. And especially in rural areas, a vote against data centers was the biggest winning vote. And I think that that explains it a lot. However, if you do look at places like Michigan or Washington state or other places, I think Michigan's more troubling because it's not as crazy as Washington state. Right. I think that they're kind of a purple place. Yeah.

Yeah, you have you have extremists that made it into this election like flat-out extremists and When you when I'm looking at that and then I'm hearing the current administration talking about amping up against civilian Infrastructure targets in Iran. I'm sitting there going I didn't I never well because it's not normal why Usually one party takes over almost entirely by being the adult in the room Now, there were places like Texas, when you

listen to the woman that got elected as governor, that was very much her strategy. And I think that's why it won in Texas and a lot of other places. Yeah. And a while. But there are a lot of other places in the country that they won because they were radicals. That but usually for usually for small seats, not not statewide elections. A senator in Michigan ain't a small deal. And I know he's one percent of the Senate.

I know, but we're not talking about a state legislator. We're not talking about a state legislator from the second largest city in the state. I'll give you that one, but this is my point. The algorithm is going to shove him down your throat because he is that. Oh, yeah. No, no, I know. But I'm not talking about him because of the algorithm. I'm talking about him based on what Van Jones said about it. And I was nowhere near. I was nowhere near as concerned about that guy. I was so much more on the look. He's an American. I think a lot of this is overgrown. I understand some of the comments he's made. I heard Van Jones talk about it. And I went, oh, I wasn't looking at this guy properly. Right. Like if Van Jones is going to critique that guy.

I'm going to I'm going to I'm going to listen to him. So the guy's in love with the TikTok camera more than making policy, in my opinion. That's my beef. But that's also why he's going to live on the algorithm, because he's good. He's really good at it at the other time. Now, at the same time, I think that there's you always got to look at it. I put out a tweet earlier this morning retweeting that Van Jones interview. And I said, hey, things don't look very good right now. But when I hear comments like this coming out of Van Jones, I'm seeing I don't see it happening yet, but I'm seeing an increasing in terms of square footage. The area for the middle to repopulate is growing, is growing now. I don't see, I don't see people moving in there yet, but I, you know, maybe that's a Pollyanna's view on my part, but I do.

I do see, when I'm listening to guys like, and I'm using myself, I'm not saying that my look on everything is right, but I'm using myself as an example. When I find myself listening to guys like Van Jones and Bill Maher and people like that who I traditionally completely disagree with, and I'm like, I think we probably agree on more than we disagree with. When I see that, that's heartening to me. Because what you want to see with

crazy is an immune response. Yeah, that's been the scary thing for a while is there hasn't been an immune response to crazy. That's a good way to put it. Yeah, and I like that. What he said felt like an immune response to like, just like a pre warning, like, hey, like, we had to be careful here, you know? Yeah, because the electorate I was listening to a town hall that he hosted and listening to Van Jones interview and then listening to that town hall was really scary to me because one of the guys in the town hall called him out for his refusal to disavow the Muslim Brotherhood. All right. And to do it in a clear way. And then he insinuated that the only reason that person was holding that against him is because he's Muslim.

and the whole town hall like laughed at the guy and was like siding with Syed like it was so and I'm like sitting there going guys every person that's Muslim that gets elected to public office is not a Manchurian candidate that's trying to flip the world over into Sharia law. However, it's not impossible to elect somebody that is right. You shouldn't just laugh at these if we're electing a politician that has any problem about condemning the Muslim Brotherhood. It's not like they're the first people invited to the PTA meetings. You know what I'm saying? It's not like the Muslim Brotherhood is this mostly good enterprise where there's a real debate over whether they're good or bad. You know what I'm saying? It's pretty hard to defend them or not call them out in any way, shape, or form. And they're not a good actor. Let's put it that way. They're a terrorist organization.

I think context here is important. El-Sayed supported the overthrow of basically a dictator in Egypt. They popularly elected the Muslim Brotherhood after that, and he was supportive of like, hey, democracy chose this person. It wasn't like he was like, I subscribe to their ideology, man. You know what I mean? No, but I wasn't talking about the election. Look, democracy. I'm just saying, I think there are people that have attached too much. on the Boston Brotherhood thing to him. Now I've seen the same video you did and it's like dude just say it just say no just you don't have to so I hear you but yeah well and I mean there's a reason he wouldn't say it but this is one of those things this is one of those things where like the algorithm if you listen to everything the algorithm says about that guy he's terrifying if you I know but my home home through reality on it it's not as bad No, I look I was on that same page until I heard Van Jones. That was

my yeah. Yeah, that was my thing I mean I was you know everything I see on social media or whatever I've just learned right or wrong and there's been times where it's been wrong, but I'm gonna throw a big ol You know, I'm gonna I'm gonna I'm gonna throw some salt on it, right? I'm gonna I'm gonna let it like hey, hold on. Let's not read it all I heard Van Jones talk and I went hmm, that's concerning So anyway, my whole point is you've got this weird dichotomy playing out where I think the extremes are very much close to or in proximity to driving the bus on each side right now. And yet at the same time, I also see this opportunity for rooming to be able to be carved out. Hopefully that plays out. It's such a weird distinction too, because Laquina Hosa would refer to herself as a populist, even though in a lot of ways she just looks like a blue dog.

The middle almost has to harness the populist moment while somehow not being crazy. You know what I mean? Because populism is usually crazy. This is what it is. It's just a tough balance. The scary thing is I don't think this can work at House seats and even stuff like that. But when you get to the presidential, once you have the primaries, That's where the crazies are allowed to choose. And that's where it makes it hard. Like I have no faith in either party not picking a nut. I just don't know. I say that I actually I actually put some money on a couple of non nuts making it, but I'll probably lose that money. Let's be let's be honest. Yeah, that's you got. You got it. This is a squirrel type election environment, man. Being nutty is is the best. It was 10% odds for a reason when I when I put the bet on. I'm sure I actually want money on Rahm Emanuel. Way less than that. Way less 10%, but.

to run for president yeah he's been he's been rejecting a lot of the nonsense from his side for really a couple years and i was like hey this gives him a shot and then john ossoff who seems way more reasonable than than the average person in his party um and is young and you know like first i'll admit my ageism if you're not 80 uh you're up in my book when you if you run for president i'll just throw it out there but I, if everybody hasn't come to that conclusion yet, I don't know what they're doing. I mean, bottom line. Yeah. Just 30 minutes on life support. So right. Yeah. You have Mitch McConnell, you know, just what is that guy's dude? Just insanity. Clean them all out. Um, you got anything else, man? I, again, I feel like we could

sit here and talk for three hours about all this stuff, but I think we've covered the oil, the military threats. I don't think chips are out of the woods.

I'll just add one thing on the military side. A couple of developments, I think I may have already mentioned that, but there's some search and rescue aircraft that got put in the region. So those little breadcrumbs keep piling up there. But also, the Russians told their citizens not to go to Iran today after meeting with probably the most important person in Iran right now. So that didn't feel like a good breadcrumb either. Just who knows? Maybe this is all a pressure campaign to try and scare the crap out of Iran into taking a bad deal. They're not going to do it. Right. They would happily get bombed instead, I think. So they've made that clear for years. But yeah. Well, I mean, at this point, what do they have to lose? Yeah. I mean, human lives have a lot to lose. And no, but yeah, but but Iran just like we've said from the very beginning, this is an existential fight for them. There is going to be no there's going to be no caving. They're on the doorstep of a strategic victory. There's no reason for them to give in. Yep. Yep.

I'm with you. So I much like in the vein of Jaws, I think we need a bigger boat. I think we're going to need more oil. I mean, and right or wrong, we added to it. That's not it. That's not an investment. That's not an investment recommendation for anybody out there. But like you've said, and we've treated it that way all along this entire year is the year is oil working his edge and that oil massive positive carry. Yeah, that dividend we've received on Friday. 8.5% in a month on the position is what the dividend was. What have we collected that year in this year in dividends on that position? So I bet you it's had to have been worth 50 to 60% of the position itself. So look, so year to date, 40% of the returns, a little over 40% of the returns year to day have been dividends, not price change. 38% price change, 78%.

total return. And that's cash money. That just goes right into the old bank account. I love it. People used to like treasuries because it was a hedge and it was positive carry. This is hedge and it's really positive carry. Yeah. Yeah, that's been a great position all year long. Hopefully we get blown up because we get a peace deal. There was one guy I know that I was listening to. I should have listened to him, but he was clamoring to be 20-25% long oil all year long. I don't know. I just blew him off. Oh, that's right. It was

you as I Homer Simpson shrink into the bushes. No, man. I was like an AI for a couple of weeks. Like I said, we put on our right tail heads is two weeks. Now, granted, we're very small. We're not getting hit by this at all. But put on our right tail heads is two weeks before they get pounded. Of course, the left tail to just come out of the ocean like a sea monster.

Of course, man. You got anything else, my man? No, good to go. All right, that's it for me. As always, you guys can follow us on social media. I'm at KYR Radio, Chase is a Pine Cone Macro. Get the video feed on YouTube. You guys know the drill. Have a wonderful evening. We'll see you at U-Type. U-Type, it's going to be the new deal on YouTube. You guys know the drill. Have a wonderful weekend. We'll see you tomorrow. You're listening to Know Your Risk Podcast. Download and subscribe to KnowYourRiskPodcast.com. Investment advice cannot be given without a client service agreement. Zach Abraham is an investment advisor representative of Trek Financial, an SEC registered investment advisor. Bollwood Capital Management is a marketing name only and does not carry a separate registration.